

Table 19.3 Price Move after Pattern End

Description	Bull Market	Bear Market
How often does price turn at D?	87%	91%
How many drop to point X?	59%	68%
How many drop to point A?	18%	34%
How many drop to point B?	37%	51%
How many drop to point C?	23%	41%

Sample Trade

Figure 19.4 shows a stock Sandy traded. Her computer software found the bearish crab (marked as XABCD) after the peak at D appeared. The volume trend at F tilted upward, but that didn't bother her. She saw the swift rise from C to D and thought it had potential for continuing the uptrend.

Why?

“See that pattern, the two converging lines after D?” She pointed to her computer screen. “That's a pennant. Those can be half-staff patterns, meaning the upward trend might be only half over.”

“But doesn't the bearish crab warn of a downturn at D?” I asked.

“Let's not confuse the issue with facts.”

To calculate the height of the flagpole, she used the high at D (47.20) and the low at H (42.40) as the start of the flagpole.

“Why H,” I asked, “and not C?”

“H is where price starts to go vertical.” The height of the flagpole was 4.80. The bottom of the pennant was at 46.15 for a target of 50.95. “*Hmm*. The target is below round number resistance, 51, but pushing through 50 will pose a challenge. Let's use 50.93 as the target so I get out before other traders who will sell at 51.”